Illustration 2

State with reasons whether the following are capital or revenue or deferred revenue expenditure:

(i) Advertisement expenses amounted to ₹ 10 crores to introduce a new product.

(ii) Expenses on freight for purchasing new machinery.

(iii) Freight and insurance on the new machinery and cartage paid to bring the new machinery to the factory.

Solution

(i) The effect of heavy advertisement expenses will extend to more than one accounting period, but it does not create any property of tangible or intangible nature and hence it is deferred revenue expenditure.

(ii) It is a capital expenditure since it is incurred up to the point the machine is ready for use.

(iii) These are capital expenditures since they are incurred up to the point the machine is ready for use.

Illustration 3

State whether the following are capital, revenue or deferred revenue expenditure.

(i) Carriage of ₹ 1,000 spent on machinery purchased and installed.

(ii) Office rent paid ₹ 2,000.

(iii) Wages of ₹ 5,000 paid to machine operators.

(iv) Hire charges for the use of motor vehicle, hired for five years, but paid yearly.

Solution

(i) Carriage of ₹ 1,000 spent on machinery purchased and installed is capital expenditure.

(ii) Office rent paid ₹ 2,000 is revenue expenditure.

(iii) Wages of ₹ 5,000 paid to machine operators is revenue expenditure.

(iv) Hire charges for the use of motor vehicle, hired for five years, but paid yearly is revenue expenditure.

Illustration 4

State whether the following are capital or revenue items.

(i) ₹ 5,000 spent towards additions to buildings.

(ii) Second-hand motor car purchased for ₹30,000 and paid ₹2,000 as repairs immediately.

(iii) ₹ 10,000 was spent on painting the new factory.

(iv) Freight and cartage on the new machine ₹ 150, erection charges ₹ 200.

(v) ₹ 150 spent on repairs before using a second hand car purchased recently.

Solution

(i) ₹ 5,000 spent towards additions to buildings is capital expenditure.

(ii) The entire amount of ₹ 32,000 should be treated as capital expenditure.

(iii) ₹ 10,000 spent on painting the new factory should be treated as capital expenditure.

(iv) Freight, cartage and erection charges are capital expenditures.

(v) ₹ 150 being expense to bring the asset in usable condition, is a capital expenditure.

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